

Timing the Reversal

The stability enjoyed during the reflation since 1982, as well as the overall disinflation since 1980, are drawing to a close. 1995 is the most reasonable time for both the bull market in *stocks* and the bear market rally in *gold* to end. It is therefore becoming increasingly likely that 1995 will mark the cusp of the reversal. This should be the year that the reflationary/disinflationary period dating from 1982 will terminate and a great wave of deflation will begin sweeping over all financial assets. Make sure your financial house is in order by the time the reversal occurs.

THE DEBT/CREDIT BALLOON AND ITS IMPLICATIONS

As appears to occur every five or six decades in human affairs, people and institutions have assumed a heavy load of debt in recent years to fulfill desires ranging beyond their immediate capacity to fund. This excess in debt buildup, particularly over the past two decades, can hardly be justly described. Debt has been assumed by government to fulfill its promises and engineer society, by industry to finance growth, and by everyday individuals to acquire what they consider at this major mood peak to be the normal amenities of life. Indeed, the "baby boomer" generation, now in its 40s, saves virtually nothing and borrows to finance its lifestyle. The multiple investment manias of recent years, as well as the growth of the economy, have been sustained by the growth of credit, which in turn is supported by confidence and complacency. When the illusion of credit safety begins to dissolve, the willingness to lend, and thus the demand for debt securities, will evaporate. The consequences of this change in mood trend will be enormous.

The reason that confidence *must* eventually erode is that debt has now grown to the point that it is impossible for the national economy, even working at maximum capacity and efficiency, to pay the interest on all of the country's debt, much less the principal, with real production. *The total value of registered debt* issued by entities within the United States, including \$3.5t. in Treasury securities, \$2.2t. in Federal agency securities, \$1.2t. in tax exempt municipal bonds, \$4.4t. in mortgages, \$2.4t. in corporate bonds, \$.8t. bank loans, \$1t. in consumer credit, \$.6t. open market paper and \$1t. in S&L and finance company loans to business, is *\$17.1 trillion*. This total does not include mob loans, loan shark loans, money owed